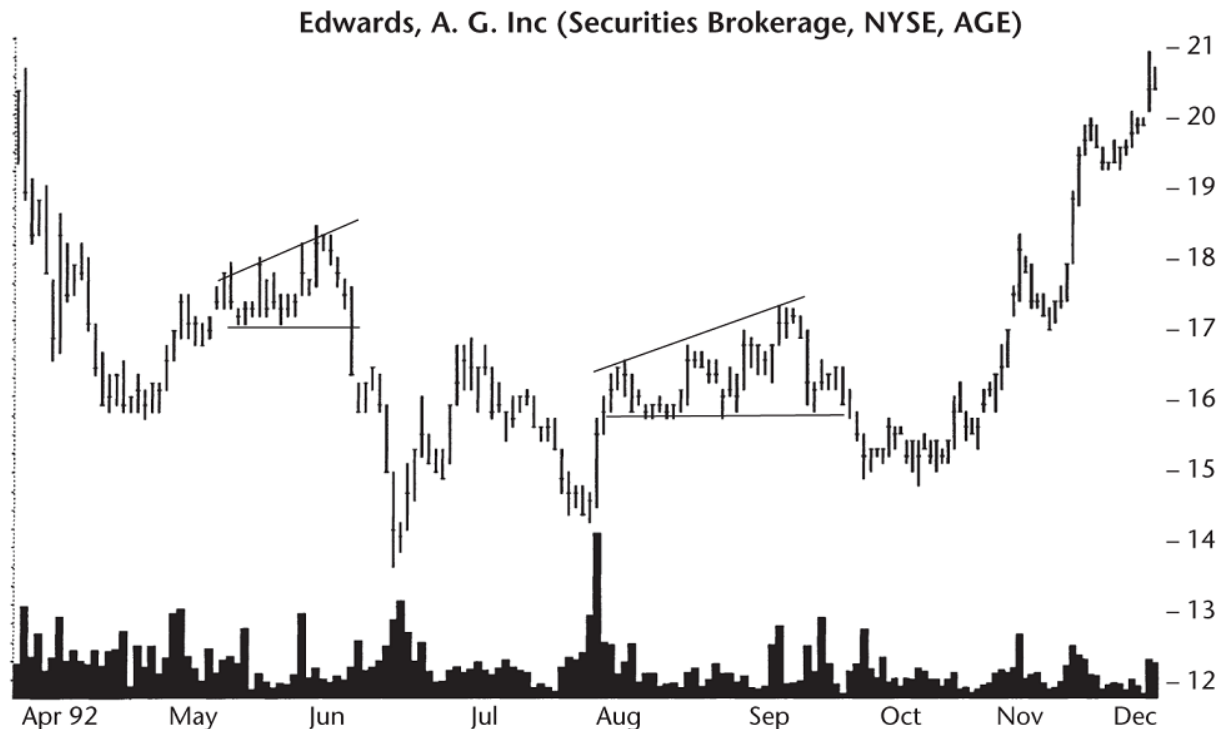


downward breakouts, but the breakout could have been upward, too. In fact, upward breakouts are favored (slightly).



**Figure 9.1** Two right-angled ascending broadening formations bounded by a horizontal base and up-sloping trendline. Price declines after a downward breakout.

Why do right-angled ascending broadening formations form? Consider [Figure 9.2](#). The rise began in mid-December 1991 on volume that was higher than anything seen in the stock for almost 2 months. By late February, the stock had reached a new high and was rounding over after meeting selling resistance at 14. The stock returned to 12.25 where it found support. At that point, it paused for about 2 weeks and established the base on which a trader could start to draw a horizontal trendline.

The reason for the horizontal trendline is one of perceived value. As the stock approached the \$12 level, more investors and institutional holders purchased the stock. The desire to own the stock at what they believed a good value outweighed the reluctance of sellers to part with their shares. The buying demand halted the decline in the stock and eventually sent price skyward again. This happened in mid-April as volume spiked along with price. The buying enthusiasm caused the stock to reach a new high.